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CANADA BREAD REPORTS RESULTS FOR FIRST QUARTER FISCAL 2008

Earnings Decline due to Record High Input Costs

Toronto, Ontario – April 24th, 2008 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the first quarter ended March 31, 2008.

- Significant margin compression due to rising wheat prices
- Adjusted earnings per share of $0.52 compared to $0.76 last year
- Fresh Bakery adjusted operating earnings down 42%
- Frozen Bakery adjusted operating earnings down 14%

Note: All earnings measures are defined as earnings before restructuring and other related costs. All earnings per share measures are defined as earnings per share before restructuring and other related costs.

"The continued rise in wheat prices together with increase in prices of other commodities, such as fuel and general inflation, has had a significant short-term impact on our margins and financial results," said Richard Lan, President and CEO. "We expect to recover these costs and restore margins through ongoing pricing and cost reduction initiatives, although there will be a lag effect as we work with our customers to manage the flow-through of these price increases."

Financial Overview

Sales for the first quarter increased 7% to $382.9 million compared to the same period last year due to higher selling prices across all the bakery businesses, partly offset by a small volume decline in the fresh bread business.

Earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") decreased by 35% to $19.5 million compared to $30.0 million last year. Virtually all of the variance to last year was due to margin compression across the bakery businesses as unprecedented and rapid increases in wheat prices have outpaced price increases the Company implemented in 2007 and in March 2008. The price of wheat and other inputs remain high and further price increases may be necessary to restore margins. As any additional price increases will not be effective from the beginning of the second quarter,

management expects continued negative impact on earnings in the short term. However, margins are expected to recover towards the end of the year.

Net earnings before restructuring and other related costs for the first quarter were $13.1 million ($0.52 per share) compared to $19.4 million ($0.76 per share) in 2007.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	First Quarter		
	2008	2007	Change
Net Earnings	12.2	17.9	(32%)
Restructuring and other related costs, net of tax	0.9	1.5	(40%)
Net earnings before restructuring and other related costs (i)	13.1	19.4	(32%)
Adjusted EPS (i)	$0.52	$0.76	(32%)

(i) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	First Quarter		
	2008	2007	Change
Fresh Bakery	**12.7**	22.0	(42%)
Frozen Bakery	**6.9**	8.0	(14%)

Note this table does not add due to rounding.

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Adjusted Operating Earnings decreased by 42% to $12.7 million compared to $22.0 million last year. The decline was driven by margin compression as price increases for fresh bread and pasta did not keep pace with the speed or magnitude of wheat and other commodity cost increases. Fresh Bakery also incurred increased costs related to marketing new products.

In the first quarter of 2008, the Company completed the purchase of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec. This was an important strategic acquisition to increase market share and manufacturing and

distribution capacity in the Canada sandwich market, which represents an important growth platform for the Company. With this acquisition, Canada Bread has become the national leader in the Canadian pre-packaged sandwich market.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Adjusted Operating Earnings for the quarter decreased by 14% to $6.9 million from $8.0 million last year. Bakery earnings in the U.K. increased marginally over the prior year driven by higher volumes but this was offset by margin compression due to wheat and other inflation in the North American frozen business.

In the quarter the Company announced that it will be closing one of its bagel plants in Toronto in the fall of 2008. This closure will increase capacity utilization at its other plants in the Toronto area. Some production will also be transferred to its facility in Roanoke, Virginia, which will bring production closer to its customers. This is part of the Company's strategy to increase profitability in its North American frozen bakery business.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company's Management Discussion and Analysis which will be available on SEDAR at www.sedar.com.

Other Matters

On April 23, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on July 2, 2008 to shareholders of record on June 9, 2008. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Canada Bread Company Limited, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

Interim Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months ended March 31, 2008 and 2007

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at March 31, 2008	As at March 31, 2007	As at December 31, 2007
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	**$ -**	$ 9,945	$ 2,847
Accounts receivable	**80,649**	56,041	68,464
Inventories	**55,753**	48,536	47,036
Future tax asset – current	**19,059**	5,349	5,937
Prepaid expenses	**5,364**	5,549	4,798
Other current assets	**-**	60,944	80,586
	$ 160,825	$ 186,364	$ 209,668
Property and equipment	**411,323**	376,998	396,623
Goodwill	**402,806**	374,112	371,066
Other intangibles	**13,787**	5,132	12,870
Future tax asset – non-current	**-**	402	-
Other long-term assets	**9,503**	1,941	7,955
	$ 998,244	$ 944,949	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 10,457**	$ 11,349	$ 9,845
Accounts payable and accrued charges	**177,346**	164,194	177,695
Due to Maple Leaf Foods Inc.	**5,226**	9,453	5,408
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**23,102**	18,361	15,078
Current portion of long-term debt	**76,900**	180	107,644
	$ 294,556	$ 205,062	317,195
Long-term debt	**-**	96,113	5
Future tax liability – non-current	**34,105**	29,878	33,522
Other long-term liabilities	**13,825**	10,123	12,417
Shareholders' equity	**655,758**	603,773	635,043
	$ 998,244	$ 944,949	$ 998,182

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended March 31, **2008**	2007
Sales	**$ 382,869**	$ 358,337
Cost of goods sold	**317,671**	283,807
Gross margin	**65,198**	74,530
Selling, general and administrative expenses	**45,654**	44,569
Earnings from operations before restructuring and other related costs	**19,544**	29,961
Restructuring and other related costs	**(1,273)**	(2,192)
Earnings from operations	**18,271**	27,769
Other income	**34**	502
Earnings before interest and income taxes	**18,305**	28,271
Interest expense	**1,758**	1,255
Earnings before income taxes	**16,547**	27,016
Income taxes	**4,336**	9,106
Net earnings	**$ 12,211**	$ 17,910
Earnings per share - basic	**$ 0.48**	$ 0.70
Earnings per share - diluted	**$ 0.48**	$ 0.70
Weighted average number of shares (millions)	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2008**	2007
Net earnings	**$ 12,211**	$ 17,910
Other comprehensive income (loss)	**10,029**	(894)
Comprehensive income	**$ 22,240**	$ 17,016

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended March 31, **2008**	2007
Retained earnings, beginning of period	**$ 528,327**	$ 450,733
Net earnings	**12,211**	17,910
Dividends declared ($0.06 per share; 2007: $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 539,013**	$ 467,118

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2008**	2007
CASH PROVIDED BY (USED IN)		
Operating activities		
Net earnings	**$ 12,211**	$ 17,910
Add (deduct) items not affecting cash:		
Depreciation and amortization	**12,819**	12,284
Future income taxes	**927**	970
Gain on sale of property and equipment	**(15)**	(490)
Changes in restructuring and other related costs	**742**	1,988
Other	**1,512**	244
Change in operating working capital	**(27,620)**	(12,958)
	576	19,948
Financing activities		
Dividends paid	**(1,525)**	(1,525)
Net increase (decrease) in long-term debt	**(30,748)**	9,458
Settlement of cross currency interest rate swap with Maple Leaf	**80,586**	-
	48,313	7,933
Investing activities		
Additions to property and equipment	**(8,628)**	(11,667)
Proceeds from sale of property and equipment	**15**	600
Purchase of net assets of business, net of cash acquired	**(43,536)**	(7,989)
Change in intangible assets	**(199)**	31
	(52,348)	(19,025)
Increase (decrease) in cash and cash equivalents	**(3,459)**	8,856
Bank indebtedness, beginning of period	**(6,998)**	(10,260)
Bank indebtedness, end of period	**$ (10,457)**	$ (1,404)

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2008**	2007
Sales		
Fresh Bakery	**$ 237,224**	$ 219,186
Frozen Bakery	**145,645**	139,151
	$ 382,869	$ 358,337
Earnings from operations before restructuring and other related costs		
Fresh Bakery	**$ 12,689**	$ 22,001
Frozen Bakery	**6,855**	7,960
	$ 19,544	$ 29,961
Additions to property and equipment		
Fresh Bakery	**$ 1,568**	$ 7,002
Frozen Bakery	**7,060**	4,665
	$ 8,628	$ 11,667
Depreciation and amortization		
Fresh Bakery	**$ 6,380**	$ 6,202
Frozen Bakery	**6,439**	6,082
	$ 12,819	$ 12,284

	As at March 31, 2008	As at March 31, 2007	As at December 31, 2007
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 428,432**	$ 385,157	$ 400,518
Frozen Bakery	**521,649**	525,974	573,772
Non-allocated assets	**48,163**	33,818	23,892
	$ 998,244	$ 944,949	$ 998,182
Goodwill			
Fresh Bakery	$ 156,056	$ 132,317	$ 131,256
Frozen Bakery	246,750	241,795	239,810
	$ 402,806	$ 374,112	$ 371,066